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Foreword

This document delivers on the Government's pre-election commitment to overhaul Australia's quarantine system and provide the resources necessary to adequately protect our multi-billion dollar agricultural, fishing and forestry industries and our environment.

The maintenance of a professional, scientifically based and adequately resourced quarantine service is one of the fundamental planks on which Australia's reputation as a supplier of clean, green produce to international markets is based. Australia's freedom from many of the world's most serious pests and diseases of plants and animals is a tremendous competitive advantage we cannot afford to jeopardise.

I am indebted to the work of the Australian Quarantine Review Committee, comprising Professor Malcolm Nairn, Andrew Inglis, Carolyn Tanner and Dr Peter Allen. They presented me with a comprehensive report, [Australian Quarantine: A Shared Responsibility](#), late in 1996 after 10 months of solid work. This is the Government's considered response to the wide-ranging recommendations of that Committee.

In releasing this document the Government is acknowledging what needs to be done and committing the resources necessary to ensure that the existing high quarantine standards can be maintained and, where necessary, enhanced. The improvements to our quarantine system outlined in this document are a substantial and responsible response to the Nairn Report. The Government will provide \$76 million over the next four years to address quarantine risk analysis, border operations, education and awareness, and strengthen our plant and fish health monitoring and response systems.

One key area highlighted by the Nairn Committee was the need to re-focus on the continuum of quarantine; that is, pre-border, border and post-border activities. The Government has not only provided additional resources to improve the most visible aspect of quarantine, border operations, but has also devoted resources to identification of offshore threats - the pre-border stage - and has provided additional resources for the establishment of plant and fish health infrastructures, as part of the post-border stage of the quarantine process, to coordinate a national response to pest and disease incursions if and when they occur.

The Nairn Committee also advocated greater use of a risk management approach to quarantine activities to refocus existing activities and reallocate resources to implement the broad thrust of their report. This is endorsed by the Government and will be achieved through the responses outlined in this document.

Some of the Committee's recommendations are already in place or are being implemented. Some can be implemented in the near future while others, because of the extent of the work involved in their

development and/or higher priorities requiring more immediate funding, are of a medium to longer term nature.

A small number of the Committee's recommendations have not been adopted. However, the broad thrust and intent of the Committee's approach is endorsed by the Government and will be achieved through the responses outlined in this document.

I would also like to express my gratitude to the National Task Force on Imported Fish and Fish Products for its comprehensive report examining the implications arising from aquatic animal imports. Many of the recommendations of both the Nairn Committee and the Task Force are complementary in nature and have therefore been considered together by the Government.

I am confident the approach outlined in this document will form a blueprint, well into the next century, for the continuing development and maintenance of a strong Australian quarantine service in the face of ever-changing threats.

Former Minister for Primary Industries and Energy

August / July 1997

Acronyms and abbreviations

Acronym Abbreviation

AAHC	Australian Animal Health Council
ACS	Australian Customs Service
APHC	Australian Plant Health Council
AQIS	Australian Quarantine and Inspection Service
ARMCANZ	Agricultural and Resource Management Council of Australia and New Zealand
CCEAD	Consultative Committee on Exotic Animal Diseases
DPIE	Department of Primary Industries and Energy
GATT	General Agreement on Tariffs and Trade
IRA	Import Risk Analysis
NAQS	Northern Australia Quarantine Strategy
OCPPPO	Office of the Chief Plant Protection Officer
OCVO	Office of the Chief Veterinary Officer
OIE	Office International des Epizooties (World Animal Health Organization)
QA	Quality Assurance
QEAC	Quarantine and Exports Advisory Council
QIAC	Quarantine and Inspection Advisory Council
SCARM	Standing Committee on Agriculture and Resource Management
SCFA	Standing Committee on Fisheries and Aquaculture

SPS	Agreement on the Application of Sanitary and Phytosanitary Measures of the World Trade Organization
WTO	World Trade Organisation

PART A: Australian Quarantine - The Government Response

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Summary of the Nairn Committee Report

The Nairn Report was premised on several fundamental themes that characterise the approach the Review Committee took in framing its recommendations.

The Nairn Committee was convinced that a partnership approach by industry, government and the wider community was the key to achieving the objectives of quarantine in light of pressures emanating from world trade, tourism and international obligations.

The Nairn Committee pointed out that a significant number of submissions to the Review emphasised the fundamental importance to the community of maintaining Australia's unique natural environment. It went on to state that environmental considerations needed to be taken into account when developing quarantine policy and programs and considered this should be reflected in quarantine legislation.

Addressing the imbalance between animal and plant sectors in relation to quarantine was another area highlighted by the Review Committee as requiring attention. The Nairn Committee stated that an examination of incursions into Australia over the past 25 years revealed the rate of incursions of plant pests and diseases was about 10 times more than for animals. In light of this the Nairn Committee made recommendations on the establishment of a Chief Plant Protection Officer position within the Department of Primary Industries and Energy and an Australian Plant Health Council to promote plant health at a level comparable to that of animal health.

The Nairn Committee wrote of the concern expressed to it on the way risk analysis is conducted on applications to import animals, plants and their products into Australia. It went on to say that there was a lack of confidence in the process used for such analysis. The Nairn Committee highlighted the need for industry and the general public to have more opportunities to have their views considered and to ensure that import risk analyses are carried out in a transparent and scientifically based manner, with provisions for appeal on process. However, the Nairn Committee also noted that this needed to be conducted in the context of Australia's international obligations.

Changing the focus of quarantine from primarily border operations to what the Nairn Committee describes as the continuum of quarantine is a fundamental theme underpinning the Nairn Report. The Nairn Report deals with pre-border, border and post-border activities. This new focus for quarantine

emphasises the importance of keeping unwanted pests and diseases offshore as well as directing more attention to the value of monitoring and surveillance within Australia and to the value of national preparedness for, and response to, incursions.

According to the Nairn Committee, much of the criticism about the effectiveness of AQIS cannot be supported by facts. The Committee commissioned four studies on plant and animal incursions over the past 25 years. These did not suggest any significant change in the rate of incursions in recent years, except for weeds. The fact is, Australia has remained relatively free of many of the major pests and diseases of animals and plants, despite its participation in the massive increase in international trade and movement of people, and dwindling government financial support for the quarantine service.

The Nairn Report provides a blueprint for Australian quarantine based on the notion of a shared responsibility. The Nairn Committee emphasises the need for this new focus to ensure quarantine protection is not diminished.

Introduction

Keeping unwanted pests and diseases out of the country while facilitating the international flow of goods and people wherever possible is the primary role of quarantine in Australia.

Quarantine is essential to the maintenance of Australia's highly favourable human, animal and plant health status and is an important element in the regulatory framework that governs trade within and between nations. Effective and efficient quarantine enhances our way of life by safeguarding the natural resource base on which we are critically dependent as a nation in social, economic and cultural terms. The gross value of production of our agricultural industries alone is \$29 billion a year, more than \$20 billion of which is exported.

The establishment of a major disease such as foot-and-mouth, which would have a devastating effect on our cattle, sheep and pig industries, could cause billions of dollars of damage to our economy through lost production, trade and employment. It would directly or indirectly affect all Australians. Similarly introduced weeds and feral animals can become major threats to agricultural production.

Quarantine is fundamental to the protection of our unique environment. It keeps out pests and diseases that could have a devastating effect on our native fauna and flora. Ensuring quarantine decisions take greater account of environmental considerations was highlighted by the Nairn Review as important to all Australians who value native wildlife.

Many of the current and potential threats to Australia's agriculture and indigenous biodiversity are posed by exotic organisms, including feral animals, weeds and micro-organisms. These organisms have often been deliberately imported into Australia with little understanding of their impacts on the environment, and these impacts may not be evident for many years after initial import.

Feral animals can have an impact on the environment in a number of ways. Rabbits and goats eat native species for food and cause land degradation and foxes and feral cats have been identified as predators of native species. Other environmental impacts of feral animals include preventing regeneration of native vegetation, changing fire regimens and compacting soil. Aquarium fish which have been released into

the environment pose threats to native fish species. There is a large number of exotic plant species which have become environmental weeds, which compete with and can lead to the extinction of native species and thereby pose direct and indirect threats to biodiversity by changing ecosystem structure.

To protect its biodiversity, Australia must carefully evaluate the risk of exotic organisms becoming environmental pests before allowing their import. It may take many years for example, for a plant to become established as a serious environmental weed; this reinforces the care necessary in risk assessment.

While no quarantine service can totally eliminate the risk that pests and diseases will enter the country, quarantine represents a vital first line of defence against these threats. Quarantine in Australia is administered by the Australian Quarantine and Inspection Service (AQIS), an operating group within the Commonwealth Department of Primary Industries and Energy.

Australian quarantine and inspection services are delivered through a range of surveillance, monitoring, examination and clearance activities at airports, seaports, mail exchanges, quarantine stations and authorised premises. In addition to quarantine and inspection activities, AQIS and the States respond to any exotic pest or disease incursions, help in the export of Australian agricultural and fishery products by providing certification, by providing information to exporters and reducing quarantine-based trade barriers in Australia's export markets, contribute to the development of national policies on food standards and regulate the entry into Australia of biological agents and other biological material.

As an important part of its quarantine role, AQIS develops quarantine policies and procedures relating to all proposed imports to Australia. Such quarantine protocols are determined following scientifically-based risk analysis comprising risk assessment, risk management and risk communication. AQIS officers participate in bilateral and multilateral negotiations on relevant international standards, rules and procedures relating to quarantine.

In 1995/96 Australia welcomed 6.8 million international air travellers, and indications are that this figure will continue to increase at around 10 per cent a year until at least the year 2000 Olympics. This expected tourism growth is very positive for Australia, but poses an increased risk of the entry of pests and diseases.

By way of example, in 1995/96 100,000 items were seized from more than one million passengers at airports who had declared items of quarantine interest on their Travellers Statement and a further 20,000 kg of products were deposited by passengers in quarantine amnesty bins. Random surveys of inbound international passengers at airports around Australia show that about 35 per cent have items of quarantine interest not declared on their Travellers Statement. Six per cent of those surveyed, which equates to 185,000 passengers a year, have items of serious quarantine concern that should be seized and destroyed, but currently pass undetected through the 'green channel' for people who claim they have nothing to declare.

AQIS supervised some 10,000 first-port ship arrivals, 52,000 first-port aircraft arrivals, processed approximately one million cargo containers, 1.8 million air-freight consignments and 154.6 million mail

articles during 1995-96. Quarantine officers provided these services all around Australia in capital cities and regional centres such as Cairns and Broome.

AQIS has a vital role in export facilitation and certifies \$10 billion of food and agricultural exports each year. From June 1995 to March 1997 AQIS helped gain access for 103 new commodities/markets including wool to Argentina, sheep, cattle and goats to Bosnia, animal food and pig semen to South Africa, meat and meat products, skins and hides to Croatia, organic oranges to Denmark, poultry and poultry products and emu oil to South Korea, pharmaceuticals to Japan and ostriches to the Philippines.

Quarantine touches every member of the Australian community, from the food we eat to the very environment we enjoy. The diversity of quarantine services in Australia aims to protect our agricultural industries and our environment, and to maintain and develop export markets crucial to our national wellbeing.

Background To The Review

In the five years to 1995 a number of outbreaks in Australia of exotic pests and diseases of animals and plants attracted considerable public attention.

Additionally, international pressures such as those stemming from trade reform under the Uruguay Round of the General Agreement on Tariffs and Trade (GATT) and several high-profile import access requests such as for cooked chicken meat, pigmeat, fresh salmon and apples, raised the public profile of and interest in quarantine.

As a consequence, and since it had been seven years since the last major review of quarantine (by Professor David Lindsay - Australian Quarantine : Looking to the Future - 1988) the former Minister for Primary Industries and Energy, Senator the Hon. Bob Collins, on 14 December 1995, established an independent Committee to review Australia's animal and plant quarantine policies and programs. Following the general election in March 1996 the incoming Minister for Primary Industries and Energy, the Hon. John Anderson MP confirmed the review and broadened the review group's scientific expertise by appointing a fourth member.

Committee membership

The Review Committee comprised Professor Malcolm Nairn (Chairman), Mr Andrew Inglis, Ms. Carolyn Tanner and Dr. Peter Allen.

Terms of reference

The Review Committee's terms of reference were to:

- review Australia's animal and plant quarantine policies and programs having regard to:-
 - Australia's advantageous animal and plant health status and the benefits and costs that flow from preserving that status;
 - Australia's international obligations;

- trade impact of Australian quarantine policies; and
 - environmental considerations.
- make recommendations on:
 - any appropriate revisions in Australia's animal and plant quarantine policy framework;
 - revisions to the quarantine risk assessment process, including the potential for greater use of quantitative methods of assessment;
 - the capacity of existing quarantine programs to deliver the requisite level of quarantine protection determined by the Government;
 - the adequacy of existing consultative processes to ensure that industry and community groups are appropriately informed and their views taken into account in policy development and program delivery; and
 - the appropriate balance between cost recovered and community service funded program elements.

The Review Committee was requested to report to the Minister for Primary Industries and Energy by October 1996.

The Review Committee received 167 written submissions. It also commissioned four independent reports into incursions of exotic pests and diseases of animals and plants over the past 25 years and conducted public hearings during which 85 individuals and organisations made submissions. About 50 further meetings were held with key individuals and groups and an extensive program of field visits was undertaken.

The Review Committee also visited five countries - Canada, Japan, the Republic of Korea, New Zealand and the United States of America - to examine quarantine policy and operational management.

Presentation of Report and release

The Review Committee completed its report, *Australian Quarantine : A Shared Responsibility* and submitted it to the Minister for Primary Industries and Energy in November 1996. The Minister subsequently released the Report on 10 December 1996.

Since the release of the Report several key industry groups and individuals have offered comments on the Report.

The Government considered the Report in the context of the 1997 Federal Budget. This Government response was released after consultation with key government agencies over the best method of delivering the Review's quarantine objectives. The following sections outline the Government's response to each of the themes covered in the Nairn Report. Details of the response to each of the Nairn Report's 109 recommendations are at Appendix I.

Some of the recommendations in the Report involve areas of joint responsibility with the States. These recommendations are being jointly considered with papers to be taken to the August 1997 meeting of the Agriculture and Resource Management Council of Australia and New Zealand. A number of the

issues recommended by the Nairn Committee are already being considered in working groups under that Council.

Australian Quarantine Policy

The quarantine policy framework

The development of a global marketplace, the increased movement of people and goods internationally, and breakthroughs in communication and technology that span continents are trends that are likely to accelerate as trade and investment barriers tumble throughout the world. This is the environment in which we live, and one that exerts new and ever-changing pressures on our quarantine system.

Clearly, we need to look at quarantine in a new light. We need to develop policies and decision making systems to take Australia's quarantine policy into the next century.

Quarantine policy has to address an increasing number of factors/elements. The protection of the health of humans, animals, plants and the environment remains essential and, indeed, the primary objective of quarantine policy. However, Australia must balance this objective with broader trading and national interests. This does not mean the Government will jeopardise Australia's excellent pest and disease status by irresponsibly exposing domestic industries to unacceptable and unmanageable quarantine risks in order to lever other countries into dismantling their trade barriers. But it does mean we have to accept the international rules with which we expect our trading partners to comply. That is, quarantine decisions have to be based on the weight of scientific evidence and judgement.

Our quarantine status and our export future are clearly linked. Australia's export future depends on our relative freedom from pests and diseases. Further, our ability to overcome quarantine barriers in potential export markets depends partly on Australia having a credible quarantine policy that is consistent with international rules and standards. Australia must continue to practise a 'managed risks quarantine policy. A zero risk quarantine regimen is an impossible goal in terms of both scientific reality and the substantial detrimental economic impact the pursuit of such a goal would have on national rural industries. Adoption of such a goal would in turn see our trading partners adopt similar positions, thereby thwarting international trade both in and out of Australia. The Nairn Report endorsed the concept of manageable risk, not no-risk or even acceptable risk or minimum risk. The Report dismissed the lingering perception in some quarters that there has been or can be a no risk quarantine policy. This reflects a fundamental misconception that needs to be addressed in a continuing awareness campaign.

Australia's quarantine policy has served us well. Studies conducted as part of the Nairn Report showed the rate of incursion of pest and diseases has not increased over the past 25 years with the possible exception of weed incursions. However, given the pressures arising from the growth of international trade, passenger movements and international agreements, it is time to review and fine tune our policy. The Government's aim is to take our current approach and build on it. In this way we can meet the challenges that confront us as we move toward and beyond the year 2000.

The Government's approach to quarantine

In formulating its approach, the Government has been helped by a number of detailed reports on quarantine and related matters such as the Nairn Report, the National Task Force on Imported Fish and Fish Products and the Senate Committee report on AQIS (1996). These reports have made a number of comments and recommendations on the future direction of quarantine policy. The Government's consideration of this collection of reports is based on seven key quarantine themes. These are:

- managed risk, based on science;
- a continuum of quarantine (pre-border, border, post-border);
- community responsibility;
- consultative decision making;
- external input to quarantine policy;
- enhanced capacity in plant and fish quarantine protection and policy; and
- delivering quarantine objectives.

The farm sector is critical to the Australian economy and the welfare of our people. In 1995-96 the farm sector accounted for more than 370,000 direct jobs (4.5 per cent of total employment) and contributed \$20.4 billion in exports (27.2 per cent of merchandise exports and 20.9 per cent of total exports). Agriculture also provides a competitive foundation for Australia's processed food and beverage industry and other processing industries such as clothing, textile, footwear and leather. The food processing industry is the largest of Australia's manufacturing industries, contributing more than a fifth of manufacturing turnover accounting for 18 per cent of total manufacturing employment and \$10.8 billion in exports. The value of our natural environment is immeasurable and demands our continuing vigilance on the quarantine front. If quarantine is inadequately resourced, it is likely to fail and the advantages derived from our relative freedom from pests and diseases will quickly erode.

We have a window of opportunity now to devote the necessary resources to quarantine to deal with deficiencies identified in the Nairn Report and manage the ever-changing operating environment. This is an investment for the future. The Government has therefore decided to invest an additional \$76 million over the next four years in quarantine. Combined with a refocussing of strategies along the quarantine continuum, this will enable some re-allocation of existing resources so that all but a small number of recommendations can be implemented.

However, the Commonwealth Government is not the only stakeholder in quarantine. The Nairn Report is premised on "a shared responsibility". With responsibility comes the need to devote resources. Of the \$76 million additional funding, \$50.7 million will be provided by the Government and \$25.3 million will be recovered from industry through the application of AQIS's existing full cost recovery policy for quarantine operations applicable to new and enhanced activities under Nairn.

Details of allocations by major functional areas are as follows:

New Policy

1997-98 1998-99 1999-00 2000-01

	\$m*	\$m	\$m	\$m
Education & Extension, Advisory Structures	1.509	1.972	2.334	2.459
Offshore Quarantine Preparedness	0.295	0.318	0.345	0.349
Risk Analysis	1.501	3.625	3.825	4.289
Border Activities	7.948	10.959	10.146	9.722
Plant Health Infrastructure	0.653	0.771	1.334	1.347
Preparedness & Response	2.072	0.578	0.475	0.479
Fish Health Infrastructure	1.021	1.937	1.861	1.875
Total Funding	15.000	20.160	20.320	20.520
Recoverable	4.712	7.024	6.997	6.616

*Expressed in 1997-98 price levels.

Managed risk, based on science

There are many paths for pests and diseases to enter Australia, by natural routes, accidents, or breaches of quarantine regulations. We cannot eliminate all these potential means of entry so therefore a zero risk quarantine policy is not possible. The Government accepts that there will always be an element of risk. The challenge facing us is to manage the risks within an appropriately conservative quarantine framework.

Australia is a member of the World Trade Organization (WTO) and signatory to its provisions, including the Agreement on the Application of Sanitary and Phytosanitary Measures (SPS Agreement) and the Agreement on Technical Barriers to Trade. The SPS Agreement defines a number of principles governing sanitary and phytosanitary measures that affect international trade. As detailed by the Nairn Report, risk analysis - including risk assessment, risk management and risk communication - is integral to international trade under policies overseen by the WTO.

Risks need to be assessed objectively so we have a rational basis for making decisions and defending those decisions, not only to the Australian community but also internationally.

Quarantine decisions must be made on the basis of whether risk can be managed to an acceptable level. If products and organisms can be assessed and effectively treated in a safe and enforceable manner through, for example, cooking or chemical treatment, the risk of the entry of pests and diseases to Australia through the import can be reduced to a manageable level. This approach provides the benefit to Australia of maintaining our very good pest and disease status, as well as permitting us to enjoy the benefits of open trade.

Decisions of AQIS that are environmentally significant may be subject to assessment under the Environment Protection (Impact of Proposals) Act 1974 (the EPIP Act). Such issues will be subject to ongoing discussions between the Environment Protection Group of Environment Australia, which administers the EPIP Act, and AQIS.

Continuum of quarantine

The Review Committee emphasised the importance of a balanced approach to pre-border, border and post-border quarantine systems. There is a tendency for quarantine to be viewed as merely about border protection. This is understandable given that this is the most visible aspect of quarantine to the community. It has always been the position of this Government that an effective quarantine regimen comprises more than just border protection. The Nairn Report pointed out that quarantine needs to be seen as a continuum of activities involving pre-border measures to reduce the threat of entry, well targeted border controls, and post-border activities such as monitoring and surveillance to detect incursions at an early stage, with emergency response plans to contain, control or eradicate pests and diseases.

The Nairn Report highlighted the effectiveness of pre-clearance of passengers or goods in their country of origin as consistent with the principle of managing quarantine risks offshore. The Government acknowledges this and endorses the continuation and expansion of offshore pre-clearance as part of the pre-border phase of the continuum of quarantine. AQIS has engaged in offshore pre-clearance of people and goods for some years for example, military personnel and their equipment are usually pre-cleared in readiness for military exercises such as the recent joint Australian-US military operation, Tandem Thrust. AQIS accepts overseas fumigation certification for full containers from all countries and maintains a list of accepted and non-accepted fumigation companies from around the world. Consignments from non-accepted overseas fumigation companies are identified and treated as required. AQIS has also successfully conducted pre-clearance of avocados, summer fruit and kiwifruit in New Zealand and nashi pears in Japan for more than seven years. This process has worked extremely well, providing benefits such as maintaining the quarantine pest or disease risk offshore, streamlining the clearance of goods on arrival in Australia, pre-clearing larger volumes of fruit, making more efficient use of AQIS staff resources and reducing the cost to exporters by redirecting rejected produce to domestic and other export markets as appropriate and by reducing shipping, storage and marketing costs if product is rejected prior to shipment.

To date most effort has been directed into border controls. With the exception of emergency preparedness and cost sharing arrangements between the Commonwealth and States for 12 major

animal diseases and a total of 43 manuals dealing with animal disease preparedness, formal response plans to pest and disease outbreaks are lacking.

In particular, the Government believes greater emphasis must be given to addressing the issue of preparedness and response to pest and disease incursions. This will be pursued on two fronts. First, in the context of our response to the Nairn Report, we must ensure that administrative infrastructure and systems similar to those in the animal health area are put in place for plants and fish to enable a tripartite approach to be developed involving the Commonwealth, State governments and industries. We must maintain a strong and integrated monitoring and surveillance infrastructure across all sectors.

Second, under the auspices of the Standing Committee on Agriculture and Resource Management (SCARM) and the Agricultural and Resource Management Council of Australia and New Zealand (ARMCANZ), a generic framework has been endorsed as a basis for developing industry-specific plans in all sectors (animal, plant and fish) for emergency outbreak management. The convergence of these two developments will provide a basis for a joint partnership approach to enhance Australia's capacity to prepare for and respond to outbreaks.

Community responsibility

The Nairn Report identified a need to establish a new quarantine culture in Australia; a culture of shared responsibility. Quarantine is the responsibility of everyone; the Commonwealth, States, industry and the wider community. While the Commonwealth Government clearly has a leadership role, it is impossible for the Commonwealth to do it all alone. For example, people have to be responsible for what they bring back when travelling overseas, and State Governments and industry each have an important role in developing incursion management plans, monitoring and surveying for pests and diseases and responding to outbreaks. A central component of engendering community ownership of quarantine will be the development of targeted, national awareness campaigns highlighting the value of quarantine to the community and encouraging Australians to make themselves aware of their responsibilities and to respond accordingly.

Consultative decision making

The Government believes that delivering on the theme of a shared responsibility requires the adoption of a more consultative approach to quarantine policy development and decision making. The Nairn Report highlighted the need for greater transparency and improved consultation in import decision making processes and other aspects of AQIS's operations. The Government has revised the import risk analysis process so that consultation occurs from the beginning of the process and continues throughout. As recommended by the Nairn Report, there will also be a mechanism for appeal on process.

A number of benefits will be achieved through greater consultation; key among them is the greater transparency that will result from increased involvement of all stakeholders in the process. This will help reduce perceptions that import access decisions are made without regard to the scientific concerns of industry and the wider community. An appeal mechanism, in addition to existing formal appeal

avenues through the Administrative Decisions (Judicial Review) Act 1977, will ensure the process is disciplined, objective and based on science.

External input to quarantine policy

The Government considers there is a need to establish an independent advisory body to provide regular external input into quarantine policy and to maintain a dialogue with the community on quarantine. The Quarantine and Exports Advisory Council (QEAC) will be established to fulfil this role. The Council, which will be expertise based, will report to the Minister and consist of members from industry, the scientific community and the wider community. Members will be appointed by the Minister on their ability to make a contribution to quarantine and export issues. The Council will have the additional role of monitoring the implementation of the Government's response to the Nairn Report. The Chair of the Council will also chair the appeal body that examines appeals on the process of import risk analyses.

In addition to the establishment of the QEAC, periodic external reviews will be undertaken to evaluate the risk analysis process and associated decisions on import access requests.

AQIS currently convenes a number of industry-specific Charging Review Committees and Consultative Committees. As recommended by the Nairn Committee, the Government will reshape these Committees to ensure they cover both quarantine and export certification issues and address strategic policy as well as operational and charging matters.

Enhanced capacity in plant and fish quarantine

The Government accepts the Nairn Committee's conclusion that more needs to be done in our national plant health, aquatic animal health and quarantine systems. To address the imbalance between plant and animal health systems new administrative arrangements will be established, similar to those for animal health, to enable a partnership approach between the Commonwealth, States and industry. These include the establishment of the Office of the Chief Plant Protection Officer (OCCPO) and the Australian Plant Health Council (APHC), which will provide an enhanced capacity to co-ordinate national effort on plant health issues in the same way as the Office of the Chief Veterinary Officer (OCVO) and the Australian Animal Health Council (AAHC) do in animal health.

The establishment of an APHC will be developed jointly by the Commonwealth, State/Territory governments and industry. The feasibility of establishing a similar structure for aquatic animals is expected to be discussed at the next meetings of Commonwealth and State Governments, through the Standing Committee on Fisheries and Aquaculture and the Ministerial Council on Forestry, Fisheries and Aquaculture.

The Government supports the broad thrust of the Report of the National Task Force on Imported Fish and Fish Products, which called for investment in fish health and fish quarantine infrastructure to put it on an equal footing with that of animals and plants. This will involve enhanced resources in the Office of the Chief Veterinary Officer (OCVO) and the establishment of a Fish Products Policy Unit within the Department of Primary Industries and Energy. AQIS's enhanced risk analysis capacity will enable it to address potentially high risk imports of fish and fish products as recommended by the Task Force.

Delivering quarantine objectives

The Government considered a range of views on the appropriate structure for quarantine in Australia. The principal alternative, advocated by the Nairn Report, is the creation of a statutory authority.

The Government has carefully considered the advantages and disadvantages of this option. A fundamental consideration is the principle of accountability and responsibility for quarantine at both departmental and government levels and the issue of who should hold executive decision making power in relation to quarantine.

Quarantine policy issues are a central element of the Government's agricultural and trade policies. Sound quarantine decisions preserve our agricultural production advantages and enhance our trade prospects. Adherence to our obligations under international agreements is critical to the positions we take in bilateral and multilateral trade discussions. It enables us to argue for liberalisation of restrictions imposed in other markets. As such, quarantine policy must be determined by Government along with other agricultural and trade policy issues. In the Government's view this is not a matter for a statutory body to decide in isolation from other Government policy making processes.

Similarly, it is the responsibility of the Minister for Primary Industries and Energy to ensure quarantine decision making and operational processes are consistent with the Government's policy and that the administration of quarantine is carried out according to the Government's directions. This is best achieved as a central function of Departmental administration, not at arms length from Ministerial and Departmental responsibility.

Other key factors influencing this decision were:

- the need to be able to demonstrate adherence by the Government to Australia's international trade and other obligations;
- AQIS's key role in negotiating market access with foreign agencies - often in direct collaboration with other areas of DPIE;
- the need for closer departmental links with other key government agencies; and
- the intention of the Government to reduce the size of Government and ensure the maintenance of Ministerial accountability

Additionally, there are substantial additional costs in creating a statutory authority as well as the disruption involved in the establishment processes which would extend over 12 months.

It is, therefore, the view of the Government that the public interest can best be safeguarded by the Minister's continued involvement in the broad direction of quarantine policy while the direct administration of AQIS is carried out by the Secretary of DPIE, in his capacity as Director of Quarantine.

In making its decision the Government considered the diversity of views about the future structure of AQIS. Broader national interests and divergent issues involved with quarantine required careful consideration, as did the public interest surrounding quarantine.

AQIS will, however, undergo significant internal restructuring with the Meat Inspection Program being established in a separate Division of the organisation, in line with recommendations of both the Nairn Report and the Report into Reform of the AQIS Meat Inspection Program. Also, the Development and Evaluation Division of AQIS will be renamed the Policy and International Division to better reflect its role.

The Government is confident all the reform objectives of the Nairn Committee, including community ownership of quarantine, cultural change and more efficient use of resources, will be best achieved with the organisational arrangements now proposed and taking account of continuing reforms within the Australian Public Service.

Conclusion

Australia's natural resource base depends on, among other things, effective and well-resourced quarantine policies and systems. Our relative freedom from pests and disease contributes to our export competitiveness. However, we need to remember that Australia is an international trading country, exporting and importing products and visited by a large number of international visitors each year. The Government is aware that we are operating in an increasingly global trading environment. An environment where there are great benefits for Australia, but also dangers if we seek to use quarantine policy to provide economic protection to domestic industries. While we have a sovereign right to maintain a conservative and cautious approach to quarantine policy in Australia, it must be scientifically based and defensible under world trade guidelines.

The Government Response

A fresh approach (Recommendations 1 - 3)

In essence the Nairn Report concludes that the broad current directions of quarantine policy and operational practice are appropriate. Even with the improvements proposed, the Report acknowledges that there is not and never can be a no risk quarantine policy for Australia.

While generally supporting the approach taken by AQIS and defending its record in preventing pest and disease incursions, the Report has identified weaknesses in our quarantine system and a lack of public confidence in quarantine decision making that must be addressed.

As a result, the Report provides a blueprint for a fresh approach to quarantine that advocates a new focus and direction for quarantine services in Australia.

The Report proposes a new vision and goal for quarantine incorporating the importance of the environment, the need to fulfil international obligations while maintaining freedom from pests and diseases, and endorses the need for a nationally coordinated, consistent and transparent quarantine system.

The Government supports this new direction for quarantine in Australia. The Government will adopt the vision and direction for quarantine recommended by the Nairn Review Committee.

Awareness and consultation (Recommendations 4 - 8)

A targeted public awareness campaign and greater consultation with stakeholders are central to engendering cultural change and fostering a partnership approach to quarantine.

The Government accepts that quarantine is a shared responsibility' and has committed an additional \$5.612 million over the next four years for the development and implementation of a nationally co-ordinated public awareness campaign. The awareness campaign will consist of a number of sub-strategies targeted to inbound tourism/travel groups, outbound travellers, ethnic groups, international mail users/foreign students studying in Australia, import industry groups such as brokers and port staff, primary industry groups such as horticulturists and research scientists, and school groups.

The campaign will focus on the shared responsibility theme, drawing out the continuum of quarantine, the role quarantine plays in protecting the environment and agricultural industries and the importance of a partnership approach to quarantine by governments, industry and the general public.

The Government will increase consultation with stakeholders, broaden the terms of reference and membership of existing Industry Charging Review Committees to cover consultation on policy issues, strengthen formal communication links with the States and enhance consultation with indigenous people and remote communities in relation to quarantine issues affecting them. It will also establish an independent advisory council, known as the Quarantine and Exports Advisory Council (QEAC), reporting to the Minister as outlined in the next section.

Quarantine Australia (Recommendations 9-22)

The Review Committee recommended the establishment of a statutory authority, to be named Quarantine Australia, to serve as a catalyst for instilling a new culture for quarantine within the organisation and the wider Australian community.

The Nairn Report outlined a number of broad principles for determining the structure of quarantine services in Australia. Briefly these included developing a new culture both within AQIS and the wider community; enhancing the establishment of a partnership approach with stakeholders; flexible application of resources and procedures; providing mechanisms for the delivery of the public good elements of quarantine; delivering commercial objectives consistent with the goal of quarantine, Government policy and community needs; establishing credibility and maximising accountability with stakeholders; instilling professionalism, fairness and equity; and ensuring independence from undue influence from any section of the community.

The Government believes these general principles can be delivered without creating a statutory authority, which would sever current direct links with other parts of Government that are central to the operation of an efficient and effective quarantine service.

A fundamental consideration is the principle of accountability and responsibility for quarantine at both departmental and government levels and the issue of who should hold executive decision making power in relation to quarantine. The Government has concerns about the proliferation of Commonwealth

statutory bodies and the resultant distortions introduced into Commonwealth policy development, policy advice and decision making. While endorsing the reform objectives of the Nairn Committee, the Government's view is that the above objectives, such as community ownership of quarantine, cultural change and more efficient use of resources, can be achieved without creating a statutory authority.

A move to a statutory authority would weaken the links with the Department and other Commonwealth and State agencies. It would also take some time to implement fully, creating uncertainty at a time when focus on implementing the Government response is what is required.

The present broad structure of AQIS will therefore be retained, but the meat inspection program will be located in a new Division that is structurally and financially separate from other programs within the organisation, in line with recommendations of the both the Nairn Review and the AQIS Reform Report into the Meat Inspection Program. The Quarantine and Exports Division, which will be responsible for program delivery of all quarantine and non meat export inspection programs, will be restructured and strengthened, while the Development and Evaluation Division will also be strengthened and renamed the Policy and International Division to better reflect its role.

While the Government has decided not to establish a new statutory authority for quarantine, it will make a number of other changes to achieve equivalent outcomes.

In response to the Nairn Committee's objectives of improving community ownership and increasing stakeholder consultation, the Government will establish a Quarantine and Exports Advisory Council (QEAC) to provide strategic direction and advice to the Minister on the functions of AQIS. QEAC will replace the existing Quarantine and Inspection Advisory Council (QIAC).

The terms of reference for QEAC are to:

- provide advice on major quarantine and export services policy issues and strategic directions for AQIS,
- oversight DPIE's implementation of the Government's decisions on the Nairn and Fish Task Force Reports;
- provide advice on matters referred by the Minister,
- act as a focal point to ensure broad-ranging consultation between AQIS, industry and stakeholders,
- provide advice on the effectiveness of AQIS's program delivery; and
- help AQIS evaluate its performance.

The new Council will be supported by a full-time secretariat. The functions as expressed in the Terms of Reference are much broader than those of QIAC. The Council will advise the Minister and the Chairman of the Council will chair the proposed Import Risk Analysis Appeal Panel (see page 22). Members will be appointed by the Minister. The Government has committed an additional \$0.78 million over the next four years to establish the Council.

QEAC will consist of up to 12 members, including the Director of Quarantine and Executive Director of AQIS, and be chaired by an eminent Australian with background and experience relevant to the task.

Membership will be based on expertise and experience, not industry representation. The Council will consist of people with a background in quarantine services, animal and plant health protection, importing/exporting, agricultural production and processing, business management, the environment and communications, public health or Commonwealth or State governments. All appointments will be made by the Minister for a period of two or three years.

To help in the community ownership of quarantine, the development of a register of key stakeholders for AQIS as recommended by the Nairn Report is supported. The Government will provide an additional \$0.54 million over the next four years to AQIS to develop and maintain this register of key stakeholders.

The Review Committee recommended that AQIS build a permanent capacity to address strategic policy issues and to undertake specific investigations. The Government supports this recommendation and will provide an additional \$1.34 million over the next four years to establish a Quarantine Development Unit to review key quarantine issues.

The Review Committee made a number of recommendations to strengthen AQIS's management process, including further strengthening the organization's close working relationship with the Australian Customs Service (ACS) and developing of Memoranda of Understanding with key organisations. The Government endorses these recommendations. Further details on these and other management issues, including the development of internal quality management systems, are dealt with under Border Activities.

International obligations and leadership (Recommendations 23 - 26)

It is in Australia's trade and quarantine interests to ensure that its views are well represented at international fora and to take a leadership role in the development of international definitions, standards, rules and procedures related to quarantine, including risk analysis, area freedom and market access arrangements. This will be best achieved by continuing to base our quarantine policy on objective, scientific processes and data and promoting our position internationally.

The Agreement on Sanitary and Phytosanitary Measures (SPS) of the World Trade Organization (WTO) has set international disciplines on the use of quarantine measures, requiring them to be based where appropriate on international standards and guidelines. Where measures more stringent than international standards are deemed appropriate, they must be based on appropriate scientific analysis and accepted risk assessment techniques.

This has enabled Australia to pursue these principles in arguing for the removal of quarantine and technical barriers to Australian exports in a number of countries. From June 1995 to March 1997 AQIS helped in the introduction of 103 new arrangements for access by Australian exports to new markets including wool to Argentina, sheep, cattle and goats to Bosnia, animal food and pig semen to South Africa, meat and meat products, skins and hides to Croatia, organic oranges to Denmark, poultry and poultry products and emu oil to South Korea, pharmaceuticals to Japan and ostriches to the Philippines.

The consequence of this approach is that quarantine measures adopted by Australia are coming under increasingly intense international scrutiny. Australia's quarantine decisions on import requests must be justifiable in scientific terms.

We have maintained, and will continue to maintain, a conservative and cautious quarantine policy to protect the advantageous plant and animal health status Australia enjoys.

The Government supports the objectives of the Nairn Report in relation to international obligations and leadership. AQIS has taken a lead role in international fora including in the negotiation of the SPS Agreement, in the Office International des Epizooties (OIE), and in the international food standards body, Codex Alimentarius Commission. AQIS will continue to pursue such opportunities as they arise and as other priorities permit.

Australia has been the international leader in relation to ballast water management for some years and the design, co-ordination and dissemination of research in this area will both maintain Australia's high profile international role and enable the introduction of improved measures to minimise the risk to Australia posed by mismanaged ballast water discharges.

The Government will provide an additional \$1 million in 1997-98 through Environment Australia to conduct further research into ballast water management. This funding is separate to the Nairn funding package.

Offshore activities (Recommendations 27 - 32)

Advance knowledge of plant, animal and human health threats is critical in the development of appropriate quarantine strategies. The Nairn Committee proposes that AQIS co-ordinate the identification of threats in neighbouring countries that have potentially significant impact on Australia.

The Government has already moved, in the 1996-97 Budget, to strengthen the Northern Australia Quarantine Strategy (NAQS) including co-operative arrangements with Indonesia and Papua New Guinea to survey and monitor for movement of pests and diseases of concern to Australia.

The Nairn Committee identified the potential risks that could be researched; for example, Australian flora and fauna have been exported to other countries and new emerging diseases of concern in those countries have been identified. Possible transmission paths into Australia also need to be examined.

The Government will provide an additional \$1.307 million over the next four years to help in the better identification of threats in other countries of particular significance to Australia. This is the pre-border stage of the continuum of quarantine.

The Government endorses the view that active Australian involvement in regional animal health organisations, attendance at significant animal health conferences in countries from which we source agricultural products and interaction with import and export bodies, in particular their overseas staff, will greatly enhance Australia's knowledge of the overseas disease situation. These activities will be undertaken from within available resources as priorities permit.

The Government endorses the concept of targeting higher risk countries to develop awareness campaigns for travel authorities, agencies, travellers and traders. To achieve this a component will be built into the enhanced public awareness campaign to be managed by AQIS (see page 16).

The Nairn Committee notes that AQIS has in place awareness programs targeted to Australians travelling overseas and supports the expansion of these programs for example, brochures through travel agents and airport signage. The Government supports the initiative of targeting Australians travelling overseas and has endorsed expansion of these quarantine awareness activities.

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Risk Analysis (Recommendations 33 - 47)

The Review Committee noted that one of the most contentious areas of quarantine policy in recent times has been the process for carrying out import risk analyses. The Nairn Committee made recommendations to address this issue.

While risk analysis has been a focus of considerable attention for some time, a number of recent incidents and developments have again brought the issue to the forefront.

These include:-

- conclusion of the Uruguay Round of the General Agreement on Tariffs and Trade, with enhanced opportunities for international trade in agricultural commodities and increased trade expectations of exporting countries;
- the SPS Agreement, which defines the rights and obligations of WTO members in relation to quarantine;
- decisions or draft recommendations by AQIS on the proposed import of a number of agricultural commodities, especially cooked chicken meat, pigmeat, fresh salmon and apples;
- significant increases in agricultural trade and passenger and cargo movement; and
- a number of incursions into Australia of exotic pests and diseases that attracted considerable public attention; for example, Papaya Fruit Fly and the Northern Pacific Seastar.

Risk analysis is the foundation stone on which all quarantine policy and action must be built. However, both the principles behind it and their application are still not well understood. The Review Committee notes that Australia's quarantine policies and programs are based on the assessment and management of pest and disease risk in accordance with internationally accepted principles. The Committee firmly debunks the notion that Australia has ever had or ever would have a 'no-risk' policy. It supports the position that 'managed risk' is the only viable approach to quarantine policy that has regard to the rapidly increasing trends in world trade and tourism and the risks inherent in such an environment, and also to the possibility of natural routes for the introduction of diseases; for example, through migratory birds.

The Government agrees with the Nairn Committee that there are six fundamental principles that should apply to import risk analysis. It should be:

- conducted in a consultative framework;
- a scientific process and therefore politically independent;
- a transparent and open process;
- consistent with both Government policy and Australia's international obligations;
- harmonised through taking account of international standards and guidelines; and
- subject to appeal on the process.

The Nairn Committee proposed an import risk analysis process consistent with the existing process but differing in the duration, timing and amount of consultation and communication, and its provision of an appeal mechanism. The Government accepts this general approach, but in light of its decision not to proceed with a Statutory Authority for quarantine it has constructed an alternative import risk analysis

process incorporating the principles espoused by the Nairn Committee and consistent with the approach proposed by it.

AQIS receives thousands of applications to import agricultural commodities each year. These range from items that can be imported from a country with similar pest and disease status to ours (that is an import risk analysis has already been conducted), to items where considerable scientific analysis is required. The first category of applications referred to is usually approved within days of receipt, while the latter may take years to resolve. Notwithstanding this difference, the principles behind the import risk analysis process must be the same so that the final decision is the correct one.

To accommodate the different types of import risk analysis that have to be undertaken, the Government has decided on an Import Risk Analysis (IRA) procedure which, while consistent, has different steps for 'routine analyses' and 'non-routine analyses'. The proposed IRA procedure is detailed at Figure 1 (pp. 23-24).

The proposed IRA procedure details not only the step-by-step process but shows the extent of contact between stakeholders and AQIS. The Government believes the proposed process not only satisfies our quarantine needs and meets the obligations placed on Australia as a signatory to the WTO, but also allows for stakeholder input and ensures the availability of all scientific data to decision makers. It will ensure the decision is taken both on the basis of the scientific evidence and within an acceptable time frame.

During the Government's consideration of this matter three key issues emerged:

- proposals that all access decisions be taken by the Minister/Government;
- a desire by some for import access decisions to be appealable on merit; and
- proposals that there be greater involvement by stakeholders than that initially proposed.

Quarantine decision making on proposed agricultural imports is the business of government and, consistent with the Nairn Committee's view, it is important that the Minister for Primary Industries and Energy retain Ministerial responsibility and control but not make specific import access decisions. Ministerial decision making would politicise the process and undermine the credibility of the science-based decision making that is essential to the defence of our decisions in international dispute settlement processes. Under the proposed new arrangements the Minister for Primary Industries and Energy will remain responsible for ensuring that the implementation of Government quarantine policy and that due process is followed in reaching quarantine decisions. The Secretary of DPIE will remain the Director of Quarantine.

Appeals

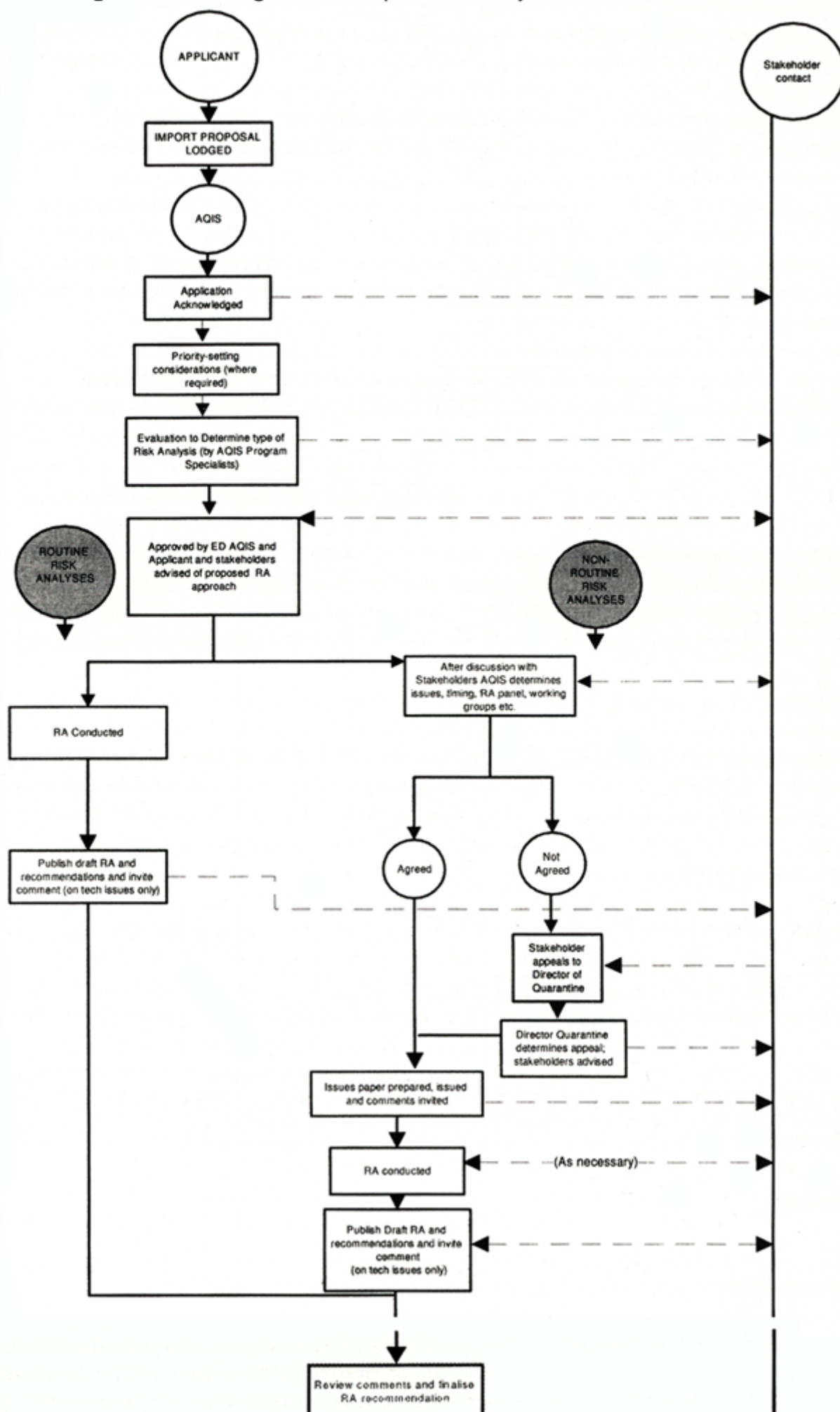
The proposed risk analysis process involves considerable stakeholder input and conforms with the models applying elsewhere in the Australian system of administrative review. Under the proposed model new arrangements, in normal circumstances the findings of an import risk analysis would be referred to the Executive Director of AQIS, as the delegate of the Director of Quarantine, for decision.

Where there are appeals on the risk analysis process, they would will be considered by an Import Risk Analysis Appeals Panel chaired by the Chair of the Quarantine and Exports Advisory Council (QEAC) and comprising the Director of Quarantine, the Chief Veterinary Officer or the Chief Plant Protection Officer (as appropriate) and one other member of QEAC. Where necessary the panel could draw on external expertise and advice on the appeal. Of course, if required, the normal provision for appeal and remedies available under the Administrative Decisions (Judicial Review) Act 1977 would apply.

Figure 1: A draft agricultural Import Risk Analysis (IRA) Procedure

Australian Quarantine a shared responsibility: The Government response

Figure 1 : A Draft agricultural Import Risk Analysis (IRA) Procedure



Most import applications (including assessment of biological products and assessments for weed potential) are dealt with under established policy and will not be subjected to this mechanism. The risk analyses covered by this schematic involve variations in established policy.

Consultation

The Government has also moved to strengthen the involvement of stakeholders at the 'front end' of the risk analysis process, recognising that if processes are open and transparent the potential for conflict is reduced.

The Government agrees with the Nairn Committee's general views on the risk analysis process and considers it essential that the arrangements be open and transparent, carried out in a consultative manner, be scientifically based, be consistent, take account of international requirements and that the process should be appealable.

The Government believes the new proposed system delivers the same outcome as that proposed by the Nairn Committee with at least the same openness, transparency and consultation.

As part of implementing the new arrangements AQIS will, as recommended by Nairn, prepare a booklet on the IRA procedures and hold a series of information seminars for industry and stakeholders so the process is fully understood and is able to operate in the most effective manner.

The Government will provide an additional \$13.24 million to AQIS and key areas of the Department of Primary Industries and Energy (DPIE) over the next four years to upgrade AQIS's risk assessment capacity, improve the import risk analysis process, increase community and stakeholder consultation and establish, where required, Risk Analysis Panels to provide scientific advice on significant, new import access requests. The Government will establish an Import Risk Analysis Appeal Panel to consider appeals on the risk analysis process.

Border Activities (Recommendations 48 - 87)

The Nairn Committee notes that border activities are only part of a continuum of pre-border, border and post-border arrangements that together form the complement of quarantine operations. The Committee highlighted the need to direct more resources to essential quarantine border activities.

The Government will provide an additional \$38.775 million over the next four years to boost border activities. This includes: increased use of X-ray technology; specialised quarantine staff for airports to aid the processing of passengers who have declared goods of quarantine interest and identify others for assessment who may be carrying quarantinable goods; an expansion of the quarantine detector dog program for airports and international mail centres; a review of quarantine concerns with international mail; improved processes for inspection of timber dunnage and packaging; the increased use of electronic systems; increased shipping container inspections; and improved wharf surveillance and signage.

The initiatives will be undertaken in consultation with ACS and other relevant agencies to avoid any unnecessary duplication and present a 'one stop shop' to clients, and to balance the need for timely clearance of passengers and goods without jeopardising quarantine security.

Australia is a major international trading nation and tourist destination. As such, it is important that its clearance procedures for visitors and cargo are as efficient as possible and meet international standards, while having regard to the need to preserve the integrity of our quarantine, immigration and customs laws.

To ensure that our border activities operate in as efficient and seamless a manner as possible the Government has asked the relevant Departments and authorities to consider the possibility of rationalising border activities to avoid duplication and unnecessary delay. The Government will consider these issues further in the lead-up to the 1998-99 Budget. It will of course, be particularly important that flexible and efficient systems are in place to aid visitor and associated baggage clearance for the Year 2000 Olympics.

Pending these further considerations, the Government will proceed with the essential enhancements to our border programs detailed below. In implementing these decisions AQIS will develop internal quality management systems for all quarantine border activities and will construct Memoranda of Understanding with key organisations.

Quarantine Detector Dog program

The Quarantine Detector Dog Program was highlighted in the Report as an area that has been successful from both operational and public awareness viewpoints. The Nairn Committee recommends that the Program be expanded at international airports and incorporate work at international mail centres, seaports and courier depots. There are currently 19 teams in operation, working mainly at international airports. The Government recognises the success of the Quarantine Detector Dog Program and will allocate an additional \$7.325 million over the next four years to expand the program by an estimated 22 teams by the year 2000.

International mail operations

Preliminary research by AQIS has indicated that international mail operations pose a serious quarantine risk.

The strategy for managing the risk at international mail centres was being developed during the Nairn Review and a number of initiatives are already underway. The Government endorses the recommendations of the Nairn Committee. AQIS is upgrading data on quarantine risks and profiling high risk items, and is liaising with overseas postal administrations and exporters. AQIS will be involved full-time in screening at International Mail Centres, will increase its expertise in assessment of risk of mail articles, sample mail on a regular basis and undertake quarantine awareness with targeted high risk groups.

The Government has allocated an additional \$1.713 million over four years to strengthen quarantine operations at international mail centres and to conduct an extensive review of mail operations as recommended by the Nairn Committee.

In response to the Nairn Report, AQIS will also develop nationally consistent performance indicators and develop a Memorandum of Understanding with Australia Post and the ACS in relation to mail operations to ensure the efficient operation of these expanded measures.

X-ray technology

The increased use of X-ray technology at both airports and international mail centres is highlighted by the Nairn Committee as an important tool in detecting quarantine breaches at the border. At the time of the Review, AQIS was already testing X-ray machines at selected locations and mail centres with good results.

The Government has allocated an additional \$5.05 million over the next four years to increase the use of X-ray technology at key border posts such as airports and international mail centres and to train and deploy staff to use this technology.

External container inspection

AQIS currently conducts external inspections of all containers moving to rural areas, external inspections of all containers from established Giant African Snail (GAS) locations and inspections (external and internal) of empty containers.

AQIS has undertaken a review of imported container inspections and proposes to:

- conduct external inspections of all land-bridged containers in Sydney, Melbourne and Brisbane;
- conduct external inspections of all containers moving to rural areas;
- conduct random external inspections of five per cent of all containers delivered in the port of discharge;
- conduct external inspections of all containers from established GAS locations;
- conduct 100 per cent assessment (external and internal) of empty containers using industry based Quality Assurance (QA) arrangements.

The Government has approved an additional \$4.065 million over the next four years to conduct external inspections of targeted containers. Not all containers will be inspected by AQIS, as recommended by the Nairn Review, as this would require significantly higher levels of resources and significantly impede the movement of cargo. Instead, AQIS is adopting a targeted approach to high risk containers such as those from established GAS locations and those moving to rural areas, as these potentially pose the most serious quarantine risk.

Increased use of electronic systems for cargo clearance

The Government endorses the proposal that AQIS continue to develop and enhance electronic systems that facilitate cargo clearance and that AQIS incorporate into its electronic systems industry requirements for the electronic clearance of cargo.

The electronic system AQIS uses to process approximately 195,000 quarantine entries a year and transmit electronic cargo releases, commonly known as AIMS, requires redevelopment to continue to be an effective cargo processing and clearance system. The application has been in operation since 1992 and the changes in technology and modifications of adjoining systems have made it essential that the system undergo significant redevelopment to ensure it will continue to function effectively in a changing electronic trading environment.

The importance of redeveloping the AIMS application is apparent in the direct impact on AIMS of a number of other recommendations made by the Nairn Review Committee, which rely on the system for the retrieval, processing and transmission of import data. The AIMS application is also integral to gathering data to enable AQIS to target exotic pests and diseases and develop policy strategies.

The Government has approved additional funding of around \$2.597 million over the next four years to improve existing joint systems with the ACS consistent, whenever possible, with the ACS Cargo Management Strategy.

Timber dunnage and packaging

The Nairn Committee acknowledges the risk involved with timber dunnage and packaging, and highlights this as an operational area requiring urgent attention.

AQIS has carried out a review into the clearance of LCL (less than a container load), break bulk (uncontainerised sea cargo) and air cargo at Australian ports, as cargo poses the largest risk along with timber dunnage and packaging. This information was provided to the Nairn Committee, with results indicating high numbers of exotic timber pests are present in timber dunnage.

The Nairn Committee proposes that 'subject to quarantine' holds be imposed on the above mentioned consignments until they are inspected and cleared of any quarantine concerns. These consignments will then be released, either electronically or through a manual procedure. The inspection and release of these types of cargo will increase AQIS activity and would potentially slow their release (they currently clear quarantine unimpeded).

The Government agrees that the current system creates unacceptable quarantine risks. In response, the Government will increase resources in the field, with staff to undertake general monitoring of packaging and dunnage on the wharfs and in registered premises and airfreight depots. This increased level of monitoring will ensure a thorough inspection of high risk packaging. The operational requirements to ensure timely clearance of cargo will be the subject of discussions with the ACS and import clearance industries.

The Government has approved an additional \$5.756 million over the next four years to implement at all ports of entry, procedures for the better identification of high risk timber dunnage and packaging associated with imports and to ensure that necessary quarantine inspections are conducted.

One agency quarantine service

At present Western Australia, Tasmania and the Northern Territory provide quarantine services on behalf of the Commonwealth under an Agency Agreement.

This issue has been discussed at Commonwealth and State level over a long period. The transfer of functions from the other States to the Commonwealth in recent years has produced savings and improved the effectiveness of operations.

AQIS will consult with the two States and the Northern Territory and conduct a review of existing arrangements with a view to making final recommendations to relevant Commonwealth and State Ministers by 30 September 1997.

Other initiatives and funding of border activities

The Government endorses the general principles of all recommendations related to border activities with the exception of aircraft disinsection and disposal of aircraft galley waste, which will be referred for further scientific analysis.

The Government also notes that expansion in border activities or new border initiatives will be cost recovered from industry consistent with existing Government policy and in line with the Nairn Committee's recommendation that we develop a 'partnership approach' to Australian quarantine.

There are a number of other initiatives to be funded over the next four years in border operations. The summary of Nairn recommendations and the Government response to each of them are included at [Appendix I](#).

Monitoring and Surveillance (Recommendations 88 - 96)

A key objective of the Nairn Report is to improve Australia's plant health and quarantine capacity, but not at the expense of our animal health and quarantine resources. The Report of the National Task Force on Imported Fish and Fish Products also called for the Government to devote more resources to fish health and quarantine. For details on funding for fish health see Part B of this document - The Government Response to the Report of the National Task Force on Imported Fish and Fish Products.

The Government will provide funding of approximately \$10.799 million over the next four years to strengthen fish and plant health systems in Australia.

Major initiatives will include the establishment of the Office of the Chief Plant Protection Officer (OCPPO) and the establishment of an Australian Plant Health Council (APHC), the establishment of Plant Health and Fish Product Policy Units in DPIE to increase work on plant and aquatic health and related pests and diseases and the commissioning of research into fish diseases.

Chief Plant Protection Officer

The Government will provide an additional \$2.52 million over the next four years (as part of the total plant and fish health funding package) to establish OCPPO, along the lines of the OCVO, to develop and co-ordinate national programs on plant health.

Leadership

The CPPO will take a leadership and co-ordinating role in the improvement of Australia's plant health and protection systems. The CPPO will:

- provide a focus for plant health and protection nationally and internationally;
- undertake national co-ordination and emergency management of plant health and protection issues;
- provide policy, strategic and specialist advice and information on plant health and protection to Commonwealth, State and Territory Governments, to industry and the public; and
- facilitate the development of contingency plans for major pests and diseases that threaten plants in Australia.

The CPPO will also act as a source of specialist technical advice to AQIS, the Bureau of Resource Sciences (BRS) and the commodity areas of DPIE.

The Government will also provide more than \$2 million over the next four years to DPIE to establish an expanded Plant Health Unit to strengthen the Commonwealth's contribution in this area.

Australian Plant Health Council (APHC)

As noted by the Nairn Review, there is no central co-ordinating body for plant protection equivalent to the Australian Animal Health Council (AAHC). AAHC is a body jointly funded by the Commonwealth, States and industry to ensure that Australia's animal health infrastructure meets the requirements of all parties, including our trading partners, in supporting efficient production activities and a significant and growing world trade in animals and meat products.

The establishment of an APHC along the lines of AAHC will provide a formal mechanism for involving the States and industry in the development of national policy for plant protection issues and also for co-ordinating national resources. Under the AAHC model, the Commonwealth, States and industry all contribute equally to the core budget and thus share the responsibility.

Work has begun through the Agricultural and Resource Management Council of Australia and New Zealand (ARMCANZ) to move toward the establishment of the APHC. An interim Plant Health Council is being created to develop the charter and to put into effect its incorporation by 1999/2000.

The Government will provide an additional \$0.674 million in 1999/00 and 2000/01 to the Department of Primary Industries and Energy to enable DPIE to contribute its share to the operations of the APHC.

National surveillance and monitoring

The Government supports the recommendation that APHC take responsibility for assessing the adequacy of national and State monitoring and surveillance programs appropriate for Australia's needs, similar to the existing model for AAHC.

The primary responsibility for monitoring arrangements and surveillance will continue to reside with States. AQIS will co-ordinate targeted monitoring and surveillance for pests and diseases of quarantine importance in high risk areas, including in Northern Australia under arrangements agreed for the NAQS program and at major ports of entry. The recent establishment of national trapping systems for fruit fly and Asian gypsy moth are examples of such targeted programs.

Preparedness and Response (Recommendations 97 - 104)

The Nairn Committee notes that effective preparedness against pest and disease incursions requires a number of elements including early detection and confirmation, clear lines of communication and responsibility, and developed contingency plans.

Surveillance and monitoring programs are essential to enable the early detection of the spread of exotic diseases and the emergence of new/different strains of existing diseases. Early detection allows controls to be quickly established to secure export markets and to enhance the prospects of eradication.

Surveillance and monitoring programs are primarily the responsibility of State/Territory Governments. These are supplemented by AQIS through the Northern Australia Quarantine Strategy (NAQS) program in northern Australia and through targeted national trapping systems at major ports of entry, such as the national fruit fly and Asian gypsy moth trapping programs. With pressures on State and Federal Budgets there is a need to ensure that adequate programs are maintained. This will be an important issue for APHC to review and report on.

Plant diagnostic laboratories

The Government will provide an additional \$1.5 million in 1997/98 to move the AQIS Plant Quarantine facility from Rydalmere to Eastern Creek. The move is necessary as a result of the decision by the NSW Government to close the laboratories at the Biological and Chemical Research Institute, Rydalmere including post-entry quarantine facilities. AQIS has been asked to vacate the Rydalmere premises within two years.

The new facility at Eastern Creek will comprise one of two Commonwealth post-entry plant quarantine facilities, the other being at Knoxfield in Victoria. These two stations, through the specialist staff employed, will undertake specialised diagnosis and testing of imported plants and associated goods to assess the risks associated with such products.

The need for greater knowledge and expertise in diagnosis of plant pests and diseases is important, particularly given increasing trade flows that are resulting in a greater risk of incursions of exotic pests

and diseases and also given the need for Australia to establish freedom or area freedom from pests and diseases as necessary to underpin our export trade.

The Review Committee recommended that following its establishment APHC investigate the need, optimal location and possible funding options for a national secure containment facility for plant pests and diseases. There would be significant resource implications for the establishment of such a facility. The Government supports the Review Committee's recommendation that APHC further investigate this recommendation.

Review of field, diagnostic and research capacity

The Nairn Committee recommends AAHC and APHC review national field, diagnostic and research capacity in animal and plant health.

AAHC is currently undertaking some elements of such a review of field, diagnostic and research capacity in animal health. However, AAHC's work does not specifically include aquatic animals, and the Government notes there is a need for similar review of this area. This issue will be raised with Commonwealth, State and Territory governments through the Standing Committee on Fisheries and Aquaculture and the Ministerial Council on Forestry, Fisheries and Aquaculture.

The Government agrees that APHC should undertake such a review in the area of plant health.

Contingency plans - animal and plant pests and diseases

The Nairn Committee makes a number of recommendations relating to the development and co-ordination of contingency plans for exotic animal and plant pests and diseases, including those threatening aquatic animals and forests.

The Government endorses these recommendations and notes that in May 1996 SCARM established a special Task Force on Emergency Outbreak Management to examine current arrangements for the management of emergency responses to outbreaks of exotic pests, weeds and diseases. The Task Force was asked to investigate the feasibility of developing a generic approach to incursion management across all primary industry sectors and to develop proposals that would enable industry to contribute to the costs of preparing for and responding to emergency outbreaks.

SCARM and ARMCANZ recently endorsed a generic approach to outbreak management as a basis for industry-specific plans in all sectors.

The Government will provide more than \$2 million to DPIE over the next four years to establish a Plant Health Unit to implement this recommendation, building on progress achieved under ARMCANZ. A further \$0.683 million will be provided to the OCVO to address a range of aquatic animal health issues including outbreak management.

Aquatic animal diseases - contingency planning

Currently, there are no national contingency plans for aquatic animal disease incidents, no co-ordinated disease surveillance and reporting system for early detection and no diagnostic capability for many serious diseases. These are areas the Government recognises as needing urgent attention. Also, there is no central coordinating body for aquatic animal health providing the equivalent role filled by AAHC for other animals.

As part of the total plant and fish health funding package, the Government will provide an additional \$2.126 million over the next four years to the Fisheries and Aquaculture Branch of DPIE to undertake a range of aquatic animal health-related functions.

The Branch will establish a Fish Products Policy Unit to provide national input to policy development and delivery through liaison with the Australian Fisheries Management Authority, State and Territory fisheries agencies, and industry. The Unit will undertake the policy, co-ordination and secretariat functions relative to disease management under a fish CCEAD (Consultative Committee on Exotic Animal Diseases) arrangement. It will also facilitate the development of contingency plans and associated funding arrangements with industry in consultation with OCVO and States.

OCVO will provide technical expertise to work with the Branch to ensure appropriate contingency plans are available for major exotic pests and diseases that threaten aquatic animals.

The Government will also provide an additional \$4.48 million to AQIS over the next four years as part of the total fish and plant health funding package, to review the risks associated with importing fish and fish products into Australia.

Compensation - contingency plans

The recommendation that AAHC and APHC investigate means for ensuring appropriate compensation as an integral part of contingency plans and response strategies is supported by the Government. It is noted that work to develop funding options for management for animals, plants and fish is already being done through the SCARM Task Force on Emergency Outbreak Management, in consultation with the States and industry. The issue of compensation will be addressed as an integral part of this process.

Resources and Legislation (Recommendations 105 - 109)

The refocussing of quarantine together with increasing risk analysis, may result in some redistribution of resources. However, there are strong grounds to support the allocation of additional resources to implement the Nairn Committee Report given the importance of agriculture to Australia's economic performance, the Government's commitment to reform AQIS in Reviving the Heartland, the leadership role of the Commonwealth expected by the rural community, and the fact that the plant and fish health and quarantine sectors need substantial investment to bring them to acceptable standards.

Australia is fortunate to be free of many major diseases of finfish and aquatic invertebrates. Such freedom confers major advantages to domestic production and exports of finfish and shellfish, and is a

national environmental asset worthy of protection. The National Task Force on Imported Fish and Fish Products has highlighted the growth and importance of our aquatic industries and identified the need for a more contemporary approach to quarantine in respect of aquatic animal imports.

The Nairn Committee provided a preliminary assessment of the level of resources required to implement its recommendations. These have been fully investigated by the Government. Accordingly, the Government will provide an additional \$76 million over the next four years to implement the Nairn and Fish Task Force Reports. Of this some \$25.3 million will be recovered from industry consistent with the shared responsibility focus for quarantine espoused by the Nairn Committee and in line with existing cost recovery principles currently applied by AQIS.

Quarantine proclamations and revisions to the Quarantine Act

Other recommendations related to the updating of quarantine proclamations and regulations will be implemented by AQIS. It is expected that the amended Quarantine Regulations and Proclamations will be finalised in the 1997/98 financial year.

AQIS has made progress on revising the Quarantine Act to ensure it reflects the scope and focus of quarantine as advocated in the Nairn Report. It is expected that the proposed amendments to the Quarantine Act will be presented to Parliament in the 1997/98 financial year.

Part B: Imported Fish and Fish Products - The Government Response

[expand all]

Background

The National Task Force on Imported Fish and Fish Products (the Task Force) was established in June 1995 to examine and report on issues relating to the importation of fish and fish products into Australia, including fish health, industry implications and environmental aspects.

This task was set against a background of widespread pilchard mortalities in 1995, a high profile import risk analysis process for salmon, the imminent release of the Bureau of Resource Sciences Report of the Scientific Working Party on Aquatic Animal Quarantine (BRS Report) and concerns to ensure consistency in Australia's approach to aquatic animal import quarantine policy.

The Task Force had a wide-ranging membership, including government at State and Federal level, industry, environmental interests and scientific organisations.

The terms of reference were to examine and report on:

- the nature and extent of reliance by the Australian fishing industry and aquaculture industries on imported fish and fish products;

- the implications of aquatic uses of such products for current and future fisheries operations and management;
- changing industry practices in specific areas such as the use of imported product for feed in aquaculture and bait in commercial and recreational fisheries;
- issues arising from interstate trade in fish and fish products intended for aquatic use;
- the range of pathways by which imported fish and fish products could be introduced into the aquatic environment and international best practice in managing these pathways; and
- relevant aspects of the BRS Report on aquatic animal quarantine.

In preparing its Report, the Task Force drew on the expertise of a broad cross-section of Australia's industry and government fisheries specialists. The Report provides a balanced response to the concerns raised by these groups and to those with a keen interest in this area.

The Report contains 46 recommendations, including one recommendation relating specifically to the 102 recommendations contained in the BRS Report on Aquatic Animal Quarantine.

The Report identified that Australian imports of fish and fish products in 1995-96 were valued at \$670 million, with exports valued at \$1,319 million. The fish and aquaculture industries have an annual value of production of \$1,633 million. There is clearly a need to ensure this industry and the environment are not put at risk from incursions of pests and diseases.

The Government Response

The Government has accepted the broad thrust of the Report of the National Task Force on Imported Fish and Fish Products. It will make a significant long term investment in the future for the production and trade in fish and fish products by putting fish health and fish quarantine infrastructure and operations onto the same footing as those for animals, plants and their products.

The Government is committed to addressing the key issues of fish health and fish policy by providing \$6.7 million over the next four years to AQIS, the Fisheries and Aquaculture Branch of DPIE and the Bureau of Resource Sciences. Additional funding of \$0.683 million has also been provided to the OCVO to meet major recommendations of the Task Force Report under recommendation 100 of the Nairn Report.

Key initiatives to be funded include the establishment of a Fish Products Policy Unit within DPIE, the development of policies to more effectively respond to environmental concerns, targeted research into fish diseases, improvements to the import risk analysis process for fish and fish products and a review of existing aquatic animal quarantine policies.

Particular areas of the Government's response are identified below and a summary of the Government's response to each recommendation is at [Appendix II](#). The Government's response to the Nairn Review of Quarantine deals in detail with many of the recommendations made by the Task Force.

Import Risk Analysis (IRA) on existing and new imports

The Government notes that the Task Force had concerns about the potential risks inherent in some existing aquatic animal imports on which significant Australian industries are currently reliant. The extent of the risks to fisheries and the natural environment has not been fully evaluated. It is therefore important that these imports are subjected to an open, transparent, scientifically based import risk analysis so that risks can be clearly identified and appropriate action taken to ensure consistent application of quarantine policy in line with Australia's international obligations.

The Reports of the Task Force and the Nairn Review draw similar conclusions on the need for improvements to the import risk analysis process. Accordingly the Government has taken the Task Force recommendations 16, 17 and 24-29 into consideration in arriving at the improved IRA process explained under Risk Analysis in Part A (see pp. 20-25).

The Government will provide an additional \$4.48 million to AQIS over the next four years to review the risks associated with importing fish and fish products into Australia. AQIS will address potentially high risk imports identified by the Task Force, including prawns and freshwater crayfish. In doing so, AQIS will consult fully with industry and other stakeholders in line with the revised import risk analysis procedures identified in the Government's response to the Nairn Report.

The Fish Products Policy Unit will facilitate, co-ordinate and undertake, as needed, the necessary improvements in order to address the identified need for improved community and industry input to risk analysis process.

Research

The Task Force, in recommendations 36-43, identified a need for increased research into the potential for import replacement and the pathogenesis and epidemiology of major aquatic animal disease agents. The Government recognises the need for such research to be conducted with the full co-operation of the Commonwealth, States, industry and research institutions. Discussions are to be held with the Standing Committee on Fisheries and Aquaculture in July on a strategic plan to implement these recommendations.

To facilitate this research the Fish Products Policy Unit, to be established within the Fisheries and Aquaculture Branch of DPIE, will provide industry policy input and seed money for the development of strategic plans for fish health research and research into import replacement through artificial baits and feeds.

In addition, the Bureau of Resource Sciences has been allocated \$90,000 to undertake several research tasks identified in the Report involving feasibility studies and one-off research in relation to Fish Task Force recommendations 36-43.

Barrier mechanisms

The Government recognises that effective management of aquatic imports requires improved knowledge of what is entering the country (recommendations 8-12 and 18-23). While acknowledging there is a lack of specificity in existing customs tariff codes that are used as part of the quarantine clearance process, AQIS has effective screening procedures in place based on the existing coding system. Nevertheless AQIS believes the existing tariff codes do not allow the gathering of sufficiently specific information to assist it with the longer term development of fish import policies based on an assessment of the risks involved. AQIS will therefore be using other avenues in consultation with industry and other government agencies to address these deficiencies as specific needs are identified.

National approach to fish health

Quarantine is only one component of the broad aquatic animal health system. The Government supports the broad thrust of recommendations 1-7, 13-15 and 30-35 and agrees with the Task Force that there should be a national approach jointly developed by the Commonwealth, States and industry, that includes quarantine, research and education and public awareness as key components.

As part of this national approach, the Government has allocated nearly \$2.81 million over the next four years toward improving responses to outbreaks of aquatic animal disease including incursions by exotic pests and diseases.

The majority of this funding, approximately \$2.126 million will go to establish the Fish Products Policy Unit with the balance to OCVO, which will have responsibility for fish health matters.

The Fish Products Policy Unit will provide national input to policy development and delivery through liaison with State and Territory fisheries agencies and industry. The Unit will undertake the policy, co-ordination and secretariat functions relevant to disease management under a fish CCEAD arrangement. It will also facilitate the development of contingency funding arrangements with industry in consultation with OCVO and States. In addition, the Unit will work toward the adoption by the States of those BRS Report recommendations supported by the Task Force.

The Unit will provide a fishing industry policy perspective in the development of international definitions, standards, rules and procedures related to quarantine, including risk analysis, area freedom and market access arrangements. The Unit will also provide policy advice on market access arrangements.

In addition, the Australian Government will take up membership of the Network of Aquaculture Centres in the Asia-Pacific Region. Membership will ensure that Australia is firmly engaged in technology transfer, industry development, resource management and co-ordinated research activities throughout the region. Membership will provide Australia with the opportunity to improve the sustainable development of aquaculture through co-operative international management regimens and to forge strong linkages with regional aquaculture policy makers.

Resources

Much needs to be done to ensure that our aquatic environments are appropriately protected, but it is also important to ensure that our priorities are correct and that the burden of resources is shared equitably among the beneficiaries. The issues do not rest solely with the Commonwealth, so there will be consultation with industry and the States, primarily through the Standing Committee on Fisheries and Aquaculture and the Ministerial Council on Forestry, Fisheries and Aquaculture. Close co-operation with relevant agencies will ensure priorities are set for implementing the recommendations in a strategic manner.

Conclusion

The Government recognises the important contribution the fisheries and aquaculture industries make to international trade, and that the protection of our environment against pest and disease risks is crucial to the continued viability of these industries. By endorsing and implementing the key recommendations of the Task Force Report, the Government is setting up infrastructure not previously in existence to ensure our fish quarantine system is consistent with overall risk based quarantine policy identified by the Task Force.

Appendix I: Australian Quarantine a shared responsibility

[expand all]

Summary of the Recommendations of the Nairn Review Committee and the Government Response

Definitions

In the following text the words "accepted" and "accepted in principle" are widely used to describe the Government's response to individual recommendations. These are to be interpreted as follows:

- "Accepted": indicates that the Government agrees with the recommendation and will take the necessary steps to implement it.
- "Accepted in Principle": indicates that the Government agrees with the issues raised by the report (or the need to address the issues raised) and will consider and implement these to the maximum extent possible when addressing other directly related but usually wider based issues.

Summary of the recommendations of the Nairn Review Committee and the Government response.

# Recommendation	Comment
1	Accepted.

The Review Committee recommends that the vision for quarantine be 'that Australia will maintain its relative freedom from unwanted pests and diseases while fulfilling national and international obligations in a responsible manner'.

2 The Review Committee recommends that the goal of national quarantine should be to prevent the establishment and spread within Australia of exotic pests and diseases that are deemed to have a significant deleterious effect on humans, animals, plants or the natural environment. Accepted.

3 The Review Committee recommends that the goal of quarantine be achieved through a nationally coordinated, consistent and transparent quarantine system using pre-border, border and post-border measures. Accepted.

# Recommendation	Comment
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6 The Review Committee recommends that the present Industry Charging Review Committees become Industry Consultative Committees that are:	Accepted.
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7 The Review Committee recommends that Government re-establish formal communication links on quarantine policy and programs with States including through:	Accepted. Existing formal communication links through SCARM Committees will continue. Other mechanisms will be discussed with States.
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# Recommendation	Comment
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10 The Review Committee recommends that Quarantine Australia assume all the functions and responsibilities of the Australian Quarantine and Inspection Service, with the exception of meat inspection.	Not accepted (refer Recommendation 9). However, both the Nairn Report and the Report on Reform of the Meat Inspection program proposed separation of the meat inspection functions from the rest of AQIS's functions. This is accepted by the Government.
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# Recommendation	Comment
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14 The Review Committee recommends that the Board of Quarantine Australia comprise up to nine members:	Not accepted (refer Recommendations 9 and 13)
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# Recommendation	Comment
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18 The Review Committee recommends that Quarantine Australia establish a register of	Accepted. \$0.54 has been allocated over the next four years to implement the recommendation. The
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	stakeholders to be regularly consulted on key quarantine issues, and that its Chairperson report annually to a meeting of registered stakeholders.	register will be used to ensure effective consultation with all stakeholders, including relevant agencies and organisations, on key quarantine issues including proposed agricultural imports.
19	The Review Committee recommends that a Quarantine Development Unit be established within Quarantine Australia.	Accepted. AQIS will receive an additional \$1.34 million over the next four years to establish and operate the Unit.

Recommendation

Comment

24	The Review Committee recommends that Australia's international position on quarantine-related issues be based on objective scientific principles consistent with Australia's national quarantine goal.	Accepted.
25	The Review Committee recommends that greater encouragement and support should be provided by Government to persons with relevant experience in quarantine issues to assume a leadership role internationally.	Accepted in principle. To be undertaken within existing resource levels.
26	The Review Committee recommends that Australia maintain an international leadership role in relation to ballast water management.	Accepted. AQIS will receive an additional \$1 million in 97/98 from Environment Australia to fund ballast water research. (This funding is separate to the Nairn funding package.)
27	The Review Committee recommends that Quarantine Australia coordinate the identification of quarantine threats in neighbouring countries and in countries that have significant contact with Australia through trade and tourism.	Accepted. Additional funding of nearly \$1.307 million will be provided over the next four years to AQIS to undertake this recommendation.

Recommendation

Comment

31	The Review Committee recommends that Quarantine Australia take a proactive role in selected countries to promote greater awareness of Australian quarantine requirements among their travel authorities, travel agencies and travelling citizens, and among their international trading authorities and companies.	Accepted. Funding provided under recommendation 5.
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The Review Committee recommends that Quarantine Australia ensure that Accepted. Funding
 32 information on Australia's quarantine requirements is more clearly provided under
 presented to Australian residents before they travel overseas. recommendation 5.

Recommendation

Comment

The Review Committee recommends that
 Quarantine Australia continue to use and refine
 33 scientifically based risk analysis - comprising risk
 assessment, risk management, and risk
 communication - to develop its quarantine policies
 and procedures.

Accepted. This and other recommendations on
 risk analysis will be implemented and
 resources required to handle incoming
 workloads will be provided. Funding for risk
 analysis for AQIS and DPIE totalling \$13.24
 million will be provided over the next four
 years. A modified Import Risk Analysis
 process, consistent with the principles
 espoused by Nairn will be introduced.

The Review Committee recommends that, for each
 import access requires that consultation with
 registered stakeholders identifies as meriting
 detailed risk analysis, Quarantine Australia
 37 coordinate and chair a Risk Analysis Panel
 including members with experience and expertise
 in quarantine risk analysis plus members with
 scientific expertise relevant to the import access
 request under consideration.

Accepted. Refer recommendation 33.

38 The Review Committee recommends that each Risk
 Analysis Panel:

Accepted. Refer Recommendation 33

The Review Committee recommends that, where
 necessary, each Risk Analysis Panel appoint and
 39 contract expert Working Parties to undertake work
 required to complete its risk analysis.

Accepted. Refer Recommendation 33.

Recommendation

Comment

The Review Committee recommends that
 any appeal against the decision of a Risk
 Analysis Panel be restricted to consideration
 43 of the appropriate discharge of the agreed
 process and be considered and adjudicated

Accepted with the exception that as a Board will not
 be constituted, that the Chairman of QEAC will
 convene a panel comprising the Director of
 Quarantine, the Chief Veterinary Officer or the Chief
 Plant Protection Officer and one other member of
 QEAC to determine appeals, where necessary utilising
 a reviewer or group to provide advice on such an

by the Board of Quarantine Australia within 45 days of lodgement with the Board.

appeal. The normal provision for appeal under the Administrative Decisions (Judicial Review) Act will remain available.

Recommendation

Comment

The Review Committee recommends that Quarantine Australia use risk analysis based on comprehensive detection databases and information systems to target resource allocation to increase the efficiency and effectiveness of border activities.

Accepted in principle. Existing data bases will be improved as resources permit, consistent wherever possible with the ACS Cargo Management Strategy and Passenger Management Systems.

The Review Committee recommends that Quarantine Australia ensure consistent, effective and efficient national delivery and reporting of quarantine services.

Accepted.

The Review Committee recommends that Quarantine Australia establish, as a matter of priority, performance objectives and indicators for all border programs, and implement regular audits of programs against these indicators for both efficiency and effectiveness.

Accepted. To be undertaken within approved resource levels and incorporated in AQIS Business Plans

The Review Committee recommends that Quarantine Australia facilitate the use of industry-developed quality assurance arrangements for low risk quarantine goods and tasks, subject to appropriate audit arrangements.

Accepted.

Recommendation

Comment

The Review Committee recommends that Quarantine Australia develop and increase the use of electronic information systems to speed the clearance of cargo, subject to the development of satisfactory quality assurance systems and audit procedures.

Accepted. Additional funding of around \$2.597 million will be provided to AQIS over the next four years . This will be fully cost-recovered. The funds will be used to improve existing joint systems with ACS consistent where appropriate with the ACS Cargo Management Strategy.

The Review Committee recommends that Quarantine Australia provide import protocols and manuals via electronic information systems,

Accepted in principle. To be implemented as far as possible within approved resource levels.

including the internet through a home page on the worldwide web.

70 The Review Committee recommends that the Travellers Statement be retained and improved by the addition of more strategic quarantine questions.

71 The Travellers Statement is being addressed by the Ministerial Committee on the Sydney 2000 Games.

72 The Review Committee recommends that quarantine security for goods stored or transported under bond be tightened to ensure that the quarantine risks to Australia associated with these goods are appropriately addressed.

Accepted. To be undertaken as far as possible within approved resource levels.

Recommendation

Comment

77 The Review Committee recommends that for general cargo, Quarantine Australia develop and implement a system of sanctions and incentives to encourage compliance with Australia's quarantine requirements.

Accepted. No additional resources required.

78 The Review Committee recommends that Quarantine Australia undertake an immediate review of international mail operations to ensure that quarantine surveillance of all international mail is effective.

Accepted. Additional funding of \$1.713 million over the next four years will be provided to implement improvements to the current systems. This will be fully cost-recovered.

79 That galley waste and other refuse from international aircraft may be disposed of at municipal or other commercial waste disposal facility under standard waste control measures, and subject to audit by Quarantine Australia.

Not accepted pending further scientific assessment

Recommendation

Comment

84

Accepted. To be implemented within approved resource levels. State

The Review Committee recommends that Quarantine Australia form a review committee to set priorities for imports of plant genetic material. environmental interests will be reflected in the composition of the review committee.

85 The Review Committee recommends that Government continue to provide Quarantine Australia with community service obligation funding for its avian and plant quarantine stations. Accepted. Forward estimates make provision for this funding.

86 The Review Committee recommends that Quarantine Australia give high priority to auditing and reviewing its border activities. Accepted. To be undertaken within approved resource levels.

Recommendation

Comment

91 The Review Committee recommends that until the Australian Plant Health Council is incorporated and operating, the Department of Primary Industries and 92 Energy undertake a coordinating role with respect to plant health. Accepted. DPIE will establish an expanded Plant Health Unit to strengthen its contribution in these areas. \$2.025 million has been allocated to DPIE.

Recommendation

Comment

96 The Review Committee recommends that Quarantine Australia coordinate targeted national monitoring and surveillance for pests and diseases of quarantine importance in high risk areas, in liaison with the Chief Veterinary Officer, Chief Plant Protection Officer, Australian Animal Health Council and the Australian Plant Health Council. Accepted. Australian Animal Health Council and the CPPO (until the Australian Plant Health Council is established) will address these issues as part of the preparedness and response strategy. States will also have a direct role in these issues.

97 The Review Committee recommends that Government establish plant diagnostic laboratories and secure post-entry quarantine facilities at Eastern Creek, near Sydney. Additional funding of \$1.5 million will be provided for transfer of AQIS plant quarantine facilities from Rydalmere to Eastern Creek near Sydney. Recommendation to fund establishment of additional secure plant diagnostic facilities is not accepted and should be reviewed by the APHC - see recommendations 98 and 99.

Recommendation

Comment

101	The Review Committee recommends that the Australian Animal Health Council and the Australian Plant Health Council take responsibility for coordinating the development of national contingency plans for major exotic pests and diseases that threaten animals (including aquatic animals), plants (including forestry) and the natural environment.	Accepted in principle. See also Recommendation 100.
102	The Review Committee recommends that the Commonwealth Department of Health and Family Services complete its handbook on the management of human diseases of quarantine concern.	Accepted. To be referred to the Dept of Health and Family Services.
103	The Review Committee recommends that Quarantine Australia, in association with the Chief Veterinary Officer and the Chief Plant Protection Officer, determine where possible the method of introduction of any new incursion of an exotic pest or disease and use this information to develop strategies to reduce the likelihood of future incursions.	Accepted. To be undertaken within approved resource levels.

#	Recommendation	Comment
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108	The Review Committee recommends that relevant sections of the Quarantine Act 1908 be revised as soon as possible to reflect fully the changed scope and focus of quarantine advocated in this Report.	Accepted in principle.
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#	Recommendation	Comment
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109	The Review Committee recommends that legislation establishing Quarantine Australia have a sunset clause of 10 years, with a review of its performance in the development and delivery of national quarantining policy and programs to be undertaken in the two years preceding this date.	As the Recommendation to establish Quarantine Australia as a statutory authority under enabling legislation is not accepted, the need for appropriate legislation, a sunset clause and review mechanism is not relevant (See response to Recommendation 9).
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Appendix II: Recommendations of the National Task Force on Imported Fish and Fish Products

[expand all]

Summary of the Recommendations of the National Task Force on Imported Fish and Fish Products and the Government Response

#	Recommendation	Comment
1	That AQIS develop guidelines and processes, detailing measures and procedures to be followed by the Commonwealth to control exotic disease on Commonwealth land and in Commonwealth places	Accepted. As part of the contingency planning and emergency response preparedness, DPIE will review needs and develop appropriate mechanisms.
2	That AQIS and ANCA facilitate and ensure effective consultation on quarantine issues which impact on the environment.	Accepted, addressed as part of the response to the Nairn Report. See Nairn recs 45 and 33.
3	That consideration be given by those States whose legislation does not cover control of movement of aquatic animal products to include relevant provisions in their legislation	Accepted, will be pursued through the Fish Health Coordinating Group of SCFA and SCARM.
#	Recommendation	Comment
8	That action be taken by AQIS to develop codes and systems which will enable more efficient identification of imports of aquatic animals of quarantine concern and that where appropriate, approaches be made to the World Customs Organisation to amend international codes.	Accepted in principle. The specific needs and objectives should be identified before such as process is commenced.
9	That AQIS continue collection of additional information for those tariff classifications dealing with fish and fish products, implemented in March 1995, pending improvements in the Harmonised System, and explore ways to improve ease of retrieval of this information.	Accepted in principle. Cost efficient and effective alternatives will need to be considered. The importance of obtaining information on which to base quarantine policies is agreed.
10	That AQIS in consultation with ACS, review statistical code 0306 (Crustaceans cooked and raw, chilled, frozen,	

	dried and salted) and the statistical code be broken down to allow identification of green, farmed product and freshwater crayfish.	Accepted. The specific needs and objectives should be identified before such a process is commenced.
11	That AQIS review, the data management system at the border to facilitate more accuracy, flexibility and ease in obtaining information.	See Recommendation 9 - alternative methods can be more effective and efficient.
# Recommendation		Comment
16	That AQIS and other relevant authorities, take action to improve measures aimed at minimising smuggling.	Accepted, control of smuggling is an ongoing AQIS program.
# Recommendation		Comment
25	That in an import risk analysis where there is a high degree of uncertainty about both the initial impact of a disease and its effect over time, use of appropriately conservative judgement should be made by DPIE.	Accepted, as per Recommendation 24.
26	That when economic analysis is used to assess the effect of a policy change, all direct economic effects resulting from disease establishment, including ecosystem and amenity effects, should be taken into consideration by DPIE	Accepted, as per Recommendation 24.
# Recommendation		Comment
	That AQIS give consideration to the processes set out in Chapter 8 to support import risk analysis and in particular:	
29	a. development and publication of standards, guidelines and criteria for the import risk analysis process defining methods for achieving as far as is possible, predicability, transparency and objectivity.	Accepted, subject to modification as per the risk analysis process developed by in the Government in response to the Nairn review. While no specific fish advisory board will be established, the Director of Quarantine will draw on expertise as required through the revised import risk analysis process. See Nairn recommendation 33-47.
	b. development of a core risk assessment unit within DPIE.	
	c. completion of peer reviews of the assessment process before commencing public consultation.	
	d. evaluation of its risk communication strategies for aquatic imports and	

consideration to increased industry liaison through a peak body.

e. separation to the maximum extent possible of the risk assessment and risk management processes.

f. the establishment of an Advisory Board for the purposes of providing advice to the Director of Quarantine on complex aquatic quarantine import risk analysis issues.

Recommendation

Comment

That universities be encouraged by the OCVO to enhance the role of fish health in veterinary studies and continue to offer specific courses in aquaculture and fisheries management.

Accepted, OCVO will coordinate with Universities.

That consideration be given to the establishment of an Aquatic Animal Health Management Sub-committee or, more appropriately, a Task Force reporting to SCFA and FEHC, with terms of reference to include development and implementation of a ten-to-fifteen year strategic plan for research and diagnostic services for the aquatic animal health sector.

Accepted, but in line with outcomes of SCARM and SCFA deliberations.

That support of research into development of products, such as artificial feeds for farmed tuna or artificial rock lobster baits, designed to replace imported aquatic products associated with disease risk be continued.

Accepted. More than \$0.2 million has been allocated to the Fish Products Policy Unit over four years as research seed funding for this and other related research recommendations.

Recommendation

Comment

That a group be established within DPIE to oversee implementation of the report.

Accepted, noting that a single steering group has been established to deal with both the Nairn and Fish reports.

That relevant organisations within industry, State and Territory governments and the Commonwealth allocate

Accepted. DPIE's Operational Plan has incorporated activities to implement the

priorities in their business plans for recommendations that fall within their portfolios.

Government Response. SCFA and MCFIA will be discussing state's responses.

46 That appropriate resources be made available by the Commonwealth, States and Industry to enable implementation of the recommendations of this report within 5 years.

The Australian Government has allocated resources to implement its decision. SCFA and the Ministerial Council will address these issues.

Source: <https://www.agriculture.gov.au/biosecurity-trade/policy/australia/reports-pubs/nairn/govt-response>